

If the profit margin is going down, it usually indicates that the raw material prices are going up. We can enquire in the raw material price. For example-crude oil that sold at 50 dollars per barrel might be priced at 70 or 80 dollars per barrel now. This is what we need to understand.



Before



Now

4. Are there any economies of scale or learning curves?

We must also ask questions about economies of scale or experience curves. If the company's sales are growing, the company is able to purchase and manufacture more, and because of that, the cost goes down. This would mean economies of scale. This would lead to an increase in gross profit margins.



Experience curve or learning curve is when the company has spent some time in the market and with repetition it has acquired knowledge and skills in the market. This means that now the company can perform the job more efficiently, cutting out needless processes and, as a result, increase the gross profit margin. This is often difficult for competitors to copy.

